

GAP INC.

Four-brand American specialty apparel platform: scale sourcing, □cultural marketing, a

GAP : NYSE | Consumer Discretionary / Apparel Retail | 29 July 2026

1 EXECUTIVE SUMMARY

Market cap: US\$7.2-7.4bn (US\$20.30/sh, 28 Jul 26; 360.0m sh o/s)	Revenue (FY2025): US\$15.37bn, +1.9% YoY
Gross / operating margin: 40.8% / 7.3% (FY2025)	FY2026 guidance: Net sales +1-2%; adj. op. margin 7.3-7.5%; adj. dil. EPS US\$2.30-2.40
Share count: 360.0m outstanding; ~375m guided diluted WASO for FY2026	Balance sheet: US\$2.56bn cash + ST inv. vs US\$1.49bn LT debt (net cash ex-leases)
Dividend: US\$0.175/qtr (US\$0.70 annualised, ~3.4% yield)	HQ / employees: 2 Folsom Street, San Francisco, California, USA; ~79,000

Gap Inc. sits at the retail end of the global apparel chain: it designs and specifies garments, contracts their manufacture to roughly a thousand third-party factories concentrated in South and Southeast Asia, imports them as the importer of record, and sells them through 2,477 company-operated stores, roughly 1,000 franchised stores in about 35 countries, and e-commerce channels that now carry 38-42% of net sales. It owns no factories and no fabric mills. What it owns is scale (US\$9.1bn of annual cost of goods sold and occupancy), four brands with distinct price ladders, 29.6m square feet of leased selling space, and a customer file of roughly 40m. The economically important consequence of that structure is that Gap Inc. is a price-taker on input cost and a price-setter on shelf, and the spread between the two -- merchandise margin -- is where the entire equity story lives.

The core thesis is a two-variable one. First, the portfolio is internally divergent to an unusual degree: Gap brand comped +10% in Q1 FY2026 while Old Navy, which is 56% of group revenue, comped +1% and Athleta comped -11%. The group is being carried by its second-largest brand while its largest one stalls, and management's May guidance cut was entirely an Old Navy call. Second, and more immediately, the tariff regime that has governed Gap's landed cost since 2025 was rebuilt from the ground up on 24 July 2026 -- five days before this report -- on terms that appear materially more favourable than the reversion management embedded in guidance. At roughly 8.6x guided FY2026 adjusted earnings and 3.9x EV/EBITDA on a pre-lease basis, with net cash and an 11% free-cash-flow yield, the market is pricing Old Navy stagnation as permanent and giving no credit for the tariff reset. The debate is whether Old Navy's H2 rebuild is real; the tariff line is a separate, and currently mispriced, call option.

Brand	FY2025 net sales	% of group	FY2025 comp	Q1 FY2026 comp	Positioning
Old Navy	US\$8,657m	56.3%	+3%	+1%	Value family apparel; #1 US specialty apparel brand
Gap	US\$3,501m	22.8%	+6%	+10%	Mid-market American casual; the reinvigoration success case
Banana Republic	US\$1,916m	12.5%	+3%	+2%	Premium workwear/lifestyle; new CEO May 2026
Athleta	US\$1,219m	7.9%	-9%	-11%	Women's active; in declared rebuild, 2026 a reset year
Other	US\$73m	0.5%	n/a	n/a	Revenue-generating strategic initiatives
Gap Inc. total	US\$15,366m	100%	+3%	+2%	88% US, 8% Canada, 4% rest of world

2 PRODUCT AND OPERATING-MODEL DEEP-DIVE

ELI5 — What Gap Inc. actually does

Imagine you run four restaurants at four price points on the same high street, but you own no kitchens. Roughly a year before anyone eats, you decide every dish on every menu, then you hire independent kitchens overseas to cook it, ship it, and you pay a government fee at the border to bring it in. If you guessed the menu right, people pay full price and you keep the difference. If you guessed wrong, the food is already cooked and paid for, so you discount it -- and the discount comes straight out of your profit. Gap Inc. is that business at a scale of about 1.5 billion garments a year. The only three levers that matter are: did we pick the right product, did we get the units bought right, and what did it cost to land at the border.

There is no proprietary technology here in the semiconductor sense, and it is a mistake to look for one. The engineering-equivalent question is: what physically determines the gross margin line? Gap Inc. reports gross margin in two components, and the distinction is load-bearing for the whole model. Merchandise margin is the spread between the average unit retail (AUR) actually realised and the landed cost of the garment -- fabric, cut-make-trim labour, ocean freight, duty. Rent, occupancy and depreciation (ROD) is the fixed cost of the store estate spread over whatever revenue passes through it. In FY2025 Gap Inc. delivered a 40.8% gross margin: merchandise margin declined 80 basis points, of which roughly 120 basis points was net tariff drag, offset by 30 basis points of ROD leverage.

That decomposition explains why the business is far more operationally geared than a 2% revenue growth rate suggests. ROD is close to fixed against a 29.6m square foot estate; every point of comparable sales flows against it. Merchandise margin, meanwhile, is a function of two things management can genuinely control -- how much of the assortment sells at full price, and how many units were bought in the first place -- and one thing it cannot, which is the duty rate. Management's stated inventory principle is that unit purchases are positioned below expected sales; Q1 FY2026 ended with inventory dollars flat year-on-year and units down, which is the disciplined version of that policy working.

2.1 The brand portfolio and what each competes against

Brand	Price architecture and format	Estate (units / sq ft)	Competes directly against
Old Navy	Value family apparel; denim, active, kids and baby as declared strategic categories; large-format suburban and strip-centre boxes; beauty being rolled to full fleet in H2 FY2026	1,241 NA stores / 19.6m sq ft	Target and Walmart apparel, Shein, Temu, Primark, off-price (TJX, Ross)
Gap	Mid-market American casual; denim, fleece, kids and baby as destination categories; GapStudio elevated capsule under Zac Posen; ~30 stores remodelled in FY2026 to new concept (~25% of NA specialty fleet by year end)	459 NA + 128 Asia / 6.0m sq ft	Uniqlo (Fast Retailing), Zara (Inditex), H&M, American Eagle, Levi's, Aritzia
Banana Republic	Premium workwear and lifestyle; 'modern explorer' positioning; archive reissue capsules; smaller mall and street-front footprint	354 NA + 43 Asia / 3.0m sq ft	J.Crew, Everlane, COS (H&M group), Theory, Abercrombie adult, Massimo Dutti
Athleta	Women's performance and studio-to-street active; BodyMove base-layer entry; Journey travel collection; heritage Elation legwear franchise	252 NA stores / 1.0m sq ft	Lululemon, Vuori, Alo Yoga, Nike women's, Aerie OFFL/NE, Fabletics

2.2 Why the current cycle structurally changes the demand profile

For a semiconductor company the analogous question would be 'why does high-bandwidth memory change your content per unit?'. For Gap Inc. the equivalent cycle is not a product cycle at all -- it is the tariff cycle, and it has changed the cost per unit landed rather than the revenue per unit sold. The magnitude is not marginal. Net tariff impact on merchandise margin was approximately 120 basis points across FY2025, then approximately 200 basis points in each of Q4 FY2025 and Q1 FY2026 as higher-duty inventory worked through the cost pool. Against a group operating margin of 7.3%, a sustained 200 basis point gross-margin

drag is roughly 27% of operating profit. Nothing in the merchandising story moves the P&L with that kind of force.

Regime	Period	Structure	Gap Inc. margin impact
IEEPA reciprocal tariffs	2025 to 20 Feb 2026	Country-specific rates set under the International Emergency Economic Powers Act; Vietnam, India and Indonesia all carried punitive rates	~120bps net drag on FY2025 merchandise margin; ~200bps in Q4 FY2025
Supreme Court ruling	20 Feb 2026	Learning Resources, Inc. v. Trump (6-3): IEEPA does not authorise the president to impose tariffs. Roughly US\$90-166bn of collected duty became refund-eligible	Refund optionality where Gap is importer of record; explicitly excluded from guidance
Section 122 surcharge	24 Feb to 24 Jul 2026	Flat 10% global import surcharge under the Trade Act of 1974; hard 150-day statutory sunset, not extendable by the president	~200bps drag in Q1 FY2026; drove the ~US\$80m / 50bps relief built into the May outlook
Section 301 forced-labour tariffs	From 24 Jul 2026	Two-tier 10% / 12.5% additive duties on ~60 economies covering ~99.4% of US imports; no statutory sunset; USMCA and CAFTA-DR carve-outs apply	Not in guidance. Management assumed reversion to IEEPA-level rates -- this is lower

The specific asymmetry worth underlining: in the May outlook management assumed the Section 122 10% rate through 24 July and then a reversion, for the balance of FY2026, to IEEPA-level country rates -- the regime under which Vietnam and India carried punitive double-digit and, at points, 50% rates. What actually took effect on 24 July is a flat 10% or 12.5% additive Section 301 duty. If Gap's principal sourcing countries land in either tier, the run-rate duty burden for H2 FY2026 is materially below the planning assumption. Management has already reserved the entire US\$80m of identified relief -- half against fuel inflation, half against a potential promotional response -- so the accounting mechanism to release it into reported margin already exists and requires only a management decision at the August print. The offsetting consideration is durability in the other direction: Section 301 actions have no sunset and can run for years, whereas Section 122 was structurally temporary. Gap has traded a high, volatile, expiring duty for a lower, stickier, permanent one.

The second structural shift is mix, and it is smaller but real. Beauty and accessories are being seeded as category adjacencies in what management calls a test-and-learn year: a 150-store Old Navy beauty pilot begun in Q3 FY2025 is rolling to the full fleet in H2 FY2026, Gap is relaunching the Heaven and Grass fragrances this summer, and a Gap accessories collection lands for the Fall. The relevance is margin architecture rather than volume: beauty and accessories carry higher gross margin and materially lower ROD intensity per dollar of sales than apparel, because they sit on incremental fixtures inside an already leased box. At current scale the contribution is immaterial to FY2026; the question for FY2027 and beyond is whether a US\$15bn apparel platform can add a mid-single-digit-percent revenue stream at above-corporate margin without new occupancy cost.

3 SUPPLY CHAIN MAPPING

ELI5 — Where the risk actually sits

Most companies worry about losing a supplier -- one factory burns down and the line stops. Gap Inc. has close to a thousand interchangeable factories, so losing any one of them is a rounding error. What it cannot swap out is a country. Moving production from Vietnam to somewhere else is not a purchase order, it is two or three years of qualifying mills, training sewing lines and re-engineering fabric supply. So when a government changes the duty on Vietnamese goods overnight, Gap absorbs it -- there is no fast exit. The concentration risk here is geographic and political, not vendor-specific.

Gap Inc. is entirely asset-light upstream. It owns no spinning, weaving, dyeing or cut-make-trim capacity. Vendors are contracted against a Code of Vendor Conduct, and the company has spent seven years deliberately reducing its China dependence in favour of a 'China plus many' base. On the most recent figures traceable to company disclosure and management commentary, Vietnam is the single largest sourcing country at roughly 27-29% of product value, Indonesia roughly 18%, followed by India, Bangladesh and Sri Lanka; China had fallen below 10% by early 2025 on the CEO's own statement, and secondary reporting puts it lower still. Vendor concentration is genuinely low: the two largest vendors represented approximately 9% and 7% of total purchase dollars in the most recent disclosure the author verified. Nothing in the base is single-sourced in a way that threatens production continuity.

Input / dependency	Source and structure	Single-sourc e?	Risk to margin or continuity
Finished garments -- Vietnam	Largest sourcing country, ~27-29% of product value; woven bottoms, denim, knits	No -- many vendors	Country-level duty exposure. Section 301 forced-labour tier assignment is the single largest unquantified variable in the FY2026 cost base
Finished garments -- Indonesia	~18% of product value; second-largest node	No	Same duty mechanism. Indonesia carried a distinct rate under the prior IEEPA regime
Finished garments -- India, Bangladesh, Sri Lanka	Next tier of the base; Sri Lanka historically weighted to performance wear and swim	No	India's rate was the most volatile of any Gap sourcing country under IEEPA, at one point doubling within a month. Expansion plans there were reconsidered as a result
Finished garments -- China	Below 10% of product and falling; sixth-largest supplier country as of late 2024	No	Legacy Section 301 lists (7.5-25%) predate 2026 and survive the July transition, stacking with the new forced-labour duty. Exposure is now small enough to be second-order
Cotton and fibre	Purchased indirectly by vendors, not by Gap; company has a stated sustainable and US-grown cotton ambition	No	Indirect input-cost pass-through with a two to three quarter lag. Not currently the binding constraint
Ocean freight and fuel	Third-party carriers; bunker fuel surcharges flow into landed cost	No	Live headwind. Management reserved approximately half of the US\$80m tariff relief specifically as a buffer against sustained fuel elevation
Distribution and fulfilment	Company-operated DC network in North America supporting 2,477 stores and 38-42% online mix	Effectively yes at the network level	Capex-absorbing rather than margin-threatening; part of the FY2026 ~US\$650m programme
Credit card programme	Third-party co-brand arrangement; income recognised under a revised agreement structure	Yes -- one partner	Already creating a measurable spread between comparable sales and reported net sales in Q1 and Q2 FY2026. Reductions in card income are a named 10-K risk factor

The geographic point deserves emphasis because the July regime change was not rate-neutral across the base. Section 301 forced-labour duties were assessed on whether an economy imposes or effectively enforces prohibitions on goods produced with forced labour, with a lower 10% tier for economies judged to have at least partial protections and 12.5% for the rest. Gap's sourcing base is concentrated precisely in the South and Southeast Asian economies where those enforcement frameworks are most variable. The 2.5 percentage point spread between tiers, applied across a US\$9.1bn cost of goods sold and occupancy base, is worth roughly 40-60 basis points of gross margin depending on tier assignment and the duty-inclusive share of the cost pool -- which is why the Federal Register annex is worth reading before the August print rather than after it.

One further item sits off-guidance. Following the February Supreme Court ruling, previously paid IEEPA duties became refund-eligible through a phased Customs and Border Protection process. Gap is the importer of record on the substantial majority of its inbound volume and is monitoring for recovery, but management explicitly stated it has not been part of the first phase of review and has assumed nothing in the outlook. Given the duty rates in force through 2025 and Gap's import volume, a successful recovery would be a cash item of potentially material size against a US\$7.3bn market capitalisation. It is unquantifiable today and should be treated as free optionality rather than modelled.

4 COMPETITIVE LANDSCAPE

Company	HQ	Revenue (latest FY)	Scale vs Gap Inc.	Key differentiator	Weakness vs Gap Inc.
Gap Inc. (GAP)	San Francisco, US	US\$15.37bn	Subject; largest US specialty apparel co.	Four price points from value to premium under one sourcing and occupancy platform; Old Navy is the #1 US specialty apparel brand by share	Slowest growth in the peer set at +1.9%; 88% US revenue concentration; one brand (Athleta) in outright decline
American Eagle (AEO)	Pittsburgh, US	~US\$5.5-5.7bn (est.)	~36% of Gap Inc. revenue	Aerie has surpassed US\$2bn trailing revenue with +25% Q1 comps -- the strongest single brand asset in US specialty apparel today	Narrower demographic (teen and young adult); core American Eagle banner described by management as mixed; no equivalent of Old Navy's value scale
Abercrombie & Fitch (ANF)	New Albany, Ohio, US	~US\$5.3-5.5bn (est.)	~35% of Gap Inc. revenue	Best-in-class gross margin in the low-60s and ROE near 37%; two globally scaled brands (Abercrombie, Hollister) with real international runway	Two-brand concentration with no value-tier hedge; growth has decelerated from the ~16% peak; trades on a similar multiple despite better margins, so no valuation edge to lose
Urban Outfitters (URBN)	Philadelphia, US	~US\$6.0-6.2bn (est.)	~40% of Gap Inc. revenue	Genuinely diversified: UO, Anthropologie, Free People, FP Movement, wholesale, plus the Nuuly rental platform; +11% growth and consecutive record quarters	Higher multiple leaves less room for disappointment; smaller sourcing scale means less tariff-absorption capacity per dollar of duty
Inditex (Zara)	Arteixo, Spain	Directional: ~4x Gap Inc.	Far larger	Two-to-three week design-to-shelf cycle and proximity sourcing -- structurally lower markdown risk than Gap's 9-12 month cycle	Minimal US value-tier presence; the Old Navy price point is not contested by Zara
Fast Retailing (Uniqlo)	Tokyo, Japan	Directional: ~1.5-2x Gap Inc.	Larger	LifeWear basics franchise with fabric-technology branding (HEATTECH, AIRism); the most direct competitor to the Gap brand's core proposition	Thin US store footprint relative to Gap's 459 domestic locations; weaker US kids and baby
Shein / Temu	Singapore / China (private)	Not disclosed	Not directly comparable	On-demand micro-batch manufacturing and direct-to-consumer parcel economics; sets the price floor Old Navy has to trade above	Post-de-minimis and post-Section 301 duty exposure is proportionally far worse than Gap's; no physical estate and no omni-channel returns capability
Off-price (TJX, Ross)	US	Directional: TJX ~4x Gap Inc.	Larger	Buys Gap's own excess inventory; benefits directly whenever Gap misjudges an assortment	No design control and no brand equity of their own to monetise in adjacencies

4.1 The moat

Gap Inc. has no intellectual property moat and no process know-how moat -- anyone can have a hoodie made in Vietnam. The defensible assets are three, and they are all scale-derived. First, sourcing scale: at US\$9.1bn of cost of goods sold and occupancy, Gap Inc. is a top-tier customer at every vendor it uses, which converts into cost-sharing leverage when duty rises. This is why Gap absorbed a 200 basis point tariff hit in Q1 FY2026 and still beat its own gross margin guidance while a smaller peer would have had to price it through. Second, real estate incumbency: 29.6m square feet of leased space, much of it long-tenured at legacy rents, in locations that a digital-native entrant cannot replicate economically. Third, and most durable, brand recognition as a monetisable asset in adjacent categories -- the fact that Heaven and Grass fragrances can be relaunched into a market that remembers them is an asset with no acquisition cost.

The most credible threat to that moat is not Shein and it is not Zara. It is Aerie. American Eagle's Aerie has passed US\$2bn of trailing revenue growing at a 25% comparable rate, and it is taking exactly the customer

-- the US young woman buying intimates, loungewear and casual active -- that Old Navy needs for its women's business and that Athleta has demonstrably lost. Aerie's growth is being funded by a company one-third Gap Inc.'s size, which means it is disproportionately concentrated on that one demographic while Gap Inc. is defending four brands at once. The Athleta decline of 10% in FY2025 and 12% in Q1 FY2026, against Aerie's OFFL/NE sub-brand growing into the same white space, is the clearest evidence in the numbers that the moat has a hole in it on the women's side. Everything else in the portfolio -- denim, kids and baby, men's -- is holding or gaining share.

5 MANAGEMENT AND GOVERNANCE

Executive	Role and tenure	Background	Relevance to the thesis
Richard Dickson	President and CEO since August 2023 (~3 years)	Former President and COO of Mattel, where he led the revitalisation of Barbie and Hot Wheels; earlier at Bloomingdale's and Jones Group	The entire equity case is his 'reinvigoration playbook' -- product, storytelling, cultural relevance. Nine consecutive quarters of positive comps is his record; the May FY2026 revenue cut is his first material miss
Katrina O'Connell	CFO; 25+ years at Gap Inc.	Internal career spanning brand finance, inventory management and investor relations	Owner of the financial and operational rigor half of the story: gross margin has beaten guidance in consecutive quarters and the cost structure has been held flat while investment stepped up
Zac Posen	EVP, Creative Director of Gap Inc. and Chief Creative Officer of Old Navy, since February 2024	American couture designer; eponymous label 2001-2019; red-carpet and technical design reputation	Creative authority across all four brands and the GapStudio capsule. Key-person exposure: the Gap brand's cultural momentum is materially personified in him
Haio Barbeito	President and CEO, Old Navy	Long-tenured Gap Inc. brand leader	Accountable for 56% of group revenue at a moment when it is comping ~flat
Michael Francis	Chief Customer Officer, Old Navy -- newly created role, announced May 2026	Brand-building leadership at Target and Walmart	The appointment is management's own acknowledgement that Old Navy's problem is customer and brand execution, not price
Donald Kohler	President and CEO, Banana Republic, appointed May 2026	Three decades across Calvin Klein, Tommy Hilfiger, Burberry, Ferragamo and Diesel, plus over a decade at Gap brand	Ends an extended interim period during which Dickson personally ran the brand -- a modest de-risking of CEO bandwidth
Maggie Gauger	President, Athleta, since August 2025	Appointed as the decisive action on Athleta in H2 FY2025	Owens the 2026 rebuild year. Legacy inventory clearance has run slower than planned, which was the direct cause of the Q1 miss at the brand
Mayo A. Shattuck III	Board Chair; director since 2002	Former Chairman of Exelon; director of Capital One	24 years of board tenure is well beyond conventional independence thresholds

5.1 Guidance accuracy and capital allocation

Dickson's guidance record through FY2025 was good and specific. The company landed FY2025 net sales growth of 2% at the high end of its own outlook, delivered a 7.3% operating margin that exceeded guidance, and beat its gross margin outlook in both Q4 FY2025 and Q1 FY2026. That record broke on 28 May 2026, when full-year net sales guidance was cut from +2-3% to +1-2% on an Old Navy shortfall, and the shares fell 15-17% in a session. The important nuance is what management did simultaneously: it raised the adjusted EPS outlook from US\$2.20-2.35 to US\$2.30-2.40 and left the operating margin range untouched. That is the signature of a team that has cost and inventory control but has lost the revenue line at its largest brand -- a materially better problem than the reverse.

Capital allocation has become notably more aggressive and, on the evidence, more shareholder-friendly. Across all of FY2025 the company returned US\$402m (US\$247m of dividends and US\$155m of buyback). In Q1 FY2026 alone it returned US\$464m, comprising a US\$200m accelerated share repurchase covering 8.3m shares, a further 8m shares bought in the open market for US\$201m, and US\$63m of dividends at a

quarterly rate raised 6% to US\$0.175. A new US\$1.0bn authorisation was approved in March 2026 with approximately US\$599m remaining after Q1. Share count is guided down roughly 2% to a ~375m diluted weighted average for FY2026, and shares outstanding have already fallen to 360.0m. Capital expenditure is stepping up from US\$470m to approximately US\$650m for stores, technology and supply chain. Against US\$1.29bn of FY2025 operating cash flow and a net cash position excluding leases, this is a defensible allocation stance rather than a stretched one.

5.2 Ownership and governance

Gap Inc. operates a single class of common stock with one vote per share -- there is no dual-class structure and no golden share, which is a meaningful positive relative to many founder-associated consumer companies. Economic control, however, is concentrated. The Fisher family, descendants of co-founders Donald and Doris Fisher, hold an aggregate stake that public sources place somewhere in the 26-40% range depending on whether trusts and foundations are consolidated; the author was unable to reconcile these figures to a primary proxy filing within this session and they are flagged accordingly. Two family members, Robert J. Fisher and William S. Fisher, sit on the board. Institutional ownership is reported at roughly 62-64%, with Dodge & Cox and BlackRock among the largest holders.

Three governance items warrant monitoring rather than alarm. First, co-founder Doris Fisher died shortly before the May 2026 earnings call, at which the CEO opened with a remembrance. The eventual disposition of her holdings through estate and philanthropic vehicles is an unquantified potential supply overhang on a stock with a US\$7.3bn capitalisation; there is no public timetable. Second, board chair tenure of 24 years sits well outside the range most governance frameworks treat as independent, and the presence of two family directors compounds the point -- although a family holding roughly a third of the equity arguably has the right alignment for a multi-year turnaround. Third, the CFO's direct beneficial ownership is small: following a March 2026 sale of 16,036 shares at approximately US\$23.74, she held 7,718 shares directly plus a small family trust position. That is unusual for a long-tenured CFO and reduces the personal-capital alignment that would otherwise support the cost-discipline narrative. Separately, the decision to pledge a US\$50m charitable contribution concurrent with the US\$313m credit-card litigation gain is a discretionary 16% of a windfall directed away from shareholders -- defensible, disclosed, and worth noting.

Overall assessment: competent and credible on cost, inventory and capital return; unproven on the largest brand. Dickson has demonstrated that the playbook works when applied to a brand with latent cultural equity -- Gap brand's +10% comp against a two-decade comparison is the proof. He has not yet demonstrated that it works on a value-tier mass brand where the customer is transacting on price rather than on story, which is the Old Navy question and, at 56% of revenue, the only one that determines the FY2027 number.

6 FINANCIAL TRAJECTORY

ELI5 — Reading a retailer's margin line

Think of gross margin as two separate taps feeding one bucket. The first tap is merchandise margin: what you sold the shirt for, minus what the shirt cost to make and land. The second is rent, occupancy and depreciation -- the cost of the shop the shirt sat in, which barely changes whether you sell one shirt or a thousand. So when a retailer reports gross margin down 130 basis points, the useful question is always which tap. Down because you discounted is a demand problem. Down because duty rose is a policy problem. Down because sales fell against fixed rent is an operating-leverage problem. Gap Inc.'s Q1 was the second kind.

Period	Net sales	Comp	Gross margin	Operating margin	Diluted EPS	Note
FY2024 (to 1 Feb 25)	US\$15,086m	+3%	41.3%	7.4%	US\$2.20	First full Dickson year
FY2025 (to 31 Jan 26)	US\$15,366m	+3%	40.8%	7.3%	US\$2.13	Tariff drag ~120bps; op. income US\$1,115m
Q1 FY2025	US\$3,463m	+2%	41.8%	7.5%	US\$0.51	Pre-tariff-escalation comparison base
Q2 FY2025	US\$3,700m	+1%	41.2%	n/d	n/d	Comparison base for the 27 Aug print
Q4 FY2025	US\$4,236m	+3%	38.1%	5.4%	US\$0.45	~200bps tariff drag; ~800 storm closures
Q1 FY2026	US\$3,497m	+2%	40.5%	12.7% rep. / 5.2% adj.	US\$0.90 rep. / US\$0.38 adj.	US\$313m settlement gain, US\$50m donation; ~200bps tariff drag

6.1 Guidance and medium-term targets

Metric	FY2026 outlook (28 May 26)	Prior outlook (5 Mar 26)	FY2025 actual
Net sales	Up 1% to 2%	Up 2% to 3%	US\$15.37bn (+2%)
Gross margin	Flat to up slightly	Flat to up slightly	40.8%
Adjusted opex (% of sales)	About flat	About flat	33.5%
Adjusted operating margin	About 7.3% to 7.5%	About 7.3% to 7.5%	7.3%
Net interest income	~US\$25m	~US\$10-15m	US\$17m
Effective tax rate	~25%	~27%	27.9%
Diluted weighted avg. shares	~375m	n/a	384m
Adjusted diluted EPS	US\$2.30 to US\$2.40 (+8-12%)	US\$2.20 to US\$2.35	US\$2.13
Reported diluted EPS	US\$2.83 to US\$2.93	US\$2.71 to US\$2.86	US\$2.13
Capital expenditure	~US\$650m	~US\$650m	US\$470m
Net store closures	About flat	About flat	32
Q2 FY2026 net sales	Flat to down 1%	n/a	Q2 FY2025: US\$3.7bn
Q2 FY2026 gross margin	Flat to down 50bps	n/a	Q2 FY2025: 41.2%
Q2 FY2026 opex	Deleverage ~110-120bps	n/a	Q2 FY2025: 33.4%

Brand-level guidance embedded in the May outlook: Old Navy full-year comparable sales flat to up 1% with Q2 down low-single-digits, Gap brand high-single-digit comps, Banana Republic another year of comp growth, and Athleta trending in Q2 similar to Q1. Management is also executing approximately US\$150m of cost savings in FY2026, partly to absorb inflation and partly to fund the beauty, accessories, Fashiontainment and technology investments. Adjusted SG&A deleverages into Q2 before leveraging in H2 as the company laps prior-year initiative spend and fourth-quarter-weighted incentive compensation.

6.2 Balance sheet

The balance sheet is the least controversial part of the story. At 2 May 2026 Gap Inc. held US\$2,162m of cash and equivalents plus US\$399m of short-term investments against US\$1,492m of long-term debt -- a net cash position of roughly US\$1.07bn before leases, on total stockholders' equity of US\$3,655m. Operating lease liabilities of US\$4,150m (US\$631m current, US\$3,519m long-term) sit against US\$3,480m of operating lease assets; on a lease-inclusive basis net debt is approximately US\$3.1bn, which is the figure some data providers report and which explains the apparent discrepancy against screened debt levels. There is no

dilution overhang: the share count is contracting, not expanding, and there have been no capital raises. Inventory of US\$2,095m was flat year-on-year with units down -- the dollar figure carrying higher tariff-inclusive cost rather than more product, which is exactly the composition a retailer wants going into a discounting environment. No impairments were taken in FY2025; the Athleta carrying value is the item to watch if the rebuild extends into a third year.

7 NEAR-TERM CATALYSTS AND RISKS

Catalyst	Timing	Impact	Probability
Section 301 tier assignment for Vietnam, Indonesia, India, Bangladesh becomes readable in the Federal Register annex	Now -- annex published 23-24 Jul 2026	Determines whether H2 landed cost runs at 10% or 12.5% additive versus the IEEPA-level reversion management assumed. Knowable ahead of the print; worth roughly 40-60bps of gross margin between tiers	High -- already occurred; the work is analytical, not event-driven
Q2 FY2026 results and FY guidance update	27 Aug 2026 (est.)	Old Navy comp against the 'down low-single-digits' guide; whether any of the reserved US\$80m tariff benefit is released into the gross margin outlook	High
Release of the reserved US\$80m tariff relief	Q2 or Q3 FY2026	50bps to gross and operating margin, roughly US\$0.16-0.17 of annualised EPS pre-tax equivalent, if the fuel and promotional buffers prove unnecessary	Medium
Recovery of previously paid IEEPA duties via the CBP refund process	H2 2026 into 2027	Cash windfall of unquantified but potentially material size; explicitly excluded from guidance. Gap was not in the first review phase	Medium
Beauty rollout to the full Old Navy fleet; Gap fragrance relaunch (Heaven, Grass)	H2 FY2026	Immaterial to FY2026 revenue; the read-through is attach rate and margin per square foot as the FY2027 scaling case	High (execution) / Medium (materiality)
Fanatics sports-licensing partnership at Old Navy	H2 FY2026	First-of-its-kind licensed sports assortment following a winter pilot; a genuine differentiator against Target and Walmart in the value tier	Medium
Gap accessories launch and holiday assortment; Devil Wears Prada and Christopher John Rogers collaborations	Q3-Q4 FY2026	Supports the Gap brand's high-single-digit comp guide against a hard 10% comparison	Medium
Athleta Fall reset assortment ships after legacy clearance completes	Q3 FY2026 (Nov print)	First read on whether the brand stabilises. A fourth consecutive year of decline raises impairment and strategic-review questions	Medium
Continued buyback execution -- approximately US\$599m of authorisation remaining	Rolling through FY2026	Approximately 8% of market capitalisation at the current price; directly accretive to the adjusted EPS guide	High
Disposition of co-founder Doris Fisher's holdings through estate or philanthropic vehicles	Unknown	Potential supply overhang; no public timetable and no disclosed intent	Low (near term)

7.1 Key risks

Old Navy is 56% of revenue and its problem is merchandising judgement, not price. The Q1 shortfall was specifically the women's dress business and the broader seasonal assortment, which management admits it did not execute effectively; the weakness continued into Q2, forcing sharper price points and revised messaging mid-May. This is the same brand that simultaneously maintained a top-three rank in denim and kids and baby and was the only brand to hold top-five share in active -- so the machine works on the strategic categories and fails on the seasonal ones. The appointment of Michael Francis from Target and Walmart into a newly created Chief Customer Officer role is management diagnosing the same thing. The

risk is that seasonal-assortment misses at a value retailer are structurally recurring rather than one-off, in which case flat-to-plus-one comps become the run rate and the FY2027 revenue line does not inflect at all.

Athleta is losing to Lululemon, Vuori and Alo Yoga at the top and to American Eagle's Aerie and OFFL/NE at the bottom, and there is no evidence yet that it has stopped. Net sales fell 10% in FY2025 and a further 12% in Q1 FY2026 to US\$270m; the brand has been described in trade press as having become generic after an attempt to widen its appeal, and its recovery has now been pushed out for three consecutive years. Management calls 2026 a rebuild year and legacy inventory clearance has run slower than planned. At US\$1.2bn of revenue Athleta is 8% of the group, so the direct earnings impact is contained -- but a fourth year of decline would put the carrying value under pressure and force a strategic decision that management has so far explicitly refused to entertain.

The Section 301 forced-labour tariffs are structurally worse than what they replaced, even at a lower rate. Section 122 was a balance-of-payments surcharge with a hard 150-day statutory sunset that no president could extend. Section 301 actions have no sunset, are a long-established and judicially durable authority, and remain in force until the investigated economy changes its forced-labour enforcement or USTR modifies the action. The designation criterion targets precisely the South and Southeast Asian economies where Gap has concentrated its base after seven years of moving out of China. Legacy Chinese Section 301 duties also stack on top for the residual China volume. The near-term rate is probably favourable; the multi-year structure is not, and any re-rating thesis that assumes tariff normalisation to pre-2025 baselines is assuming something that is no longer on the table.

Gap brand's comp is the single engine of group growth and it is lapping itself. The +10% Q1 comp came on top of +5% and marks the brand's tenth consecutive positive quarter and one of its strongest results in over two decades. Management's own FY2026 guide is high-single-digit, which is an explicit deceleration. The mechanism producing those comps -- Coachella hoodie activations, a Kendall Jenner Met Gala GapStudio look, a Young Miko music video, Victoria Beckham and Awake NY collaborations -- generates impressions rather than annuity revenue, and it is materially dependent on Zac Posen personally. Gap Inc.'s own 10-K names the risk that talent partnerships expose the company to reputational or other risks. If Gap brand comps decelerate faster than high-single-digit while Old Navy stays flat, group revenue growth goes negative in FY2027.

Fuel and freight are a live, management-acknowledged headwind, not a hypothetical. The CFO explicitly reserved approximately half of the US\$80m identified tariff relief as a buffer against sustained elevation in fuel costs tied to the geopolitical environment, and noted a slight impact in both Q1 and the Q2 guide. This is the mechanism by which the tariff upside gets absorbed before it reaches the margin line, and it is the most likely reason the August print disappoints investors who are underwriting a straightforward tariff-relief beat.

The credit card programme is already distorting the topline and is a named risk factor. The revised structure of the co-brand agreement is creating a measurable spread between comparable sales and reported net sales -- Q1 FY2026 showed +2% comps against +1% net sales, and management guided a similar spread for Q2 before the two converge. It also produced a modest merchandise margin headwind in Q1. Reductions in income and cash flow from the card programme are listed among the company's own principal risks; for a business earning a 7.3% operating margin, card economics are a non-trivial share of profit that sits outside merchandising control entirely.

8 VALUATION CONTEXT

Company	Market cap	Revenue	P/E	EV/EBITDA	Revenue growth	End-market exposure
Gap Inc. (GAP)	US\$7.2-7.4bn	US\$15.37bn	9.5x trailing FY2025; ~8.6x FY2026 adj.; ~7.1x FY2026 reported	~3.9x ex-lease; ~6.4x lease-inclusive	+1.9% FY2025; +1-2% guided FY2026	88% US, 8% Canada, 4% RoW. Value to premium across four brands; heavy kids, baby and denim
American Eagle (AEO)	US\$2.9-3.2bn	~US\$5.5-5.7bn (est.)	n/v this session	n/v this session	+10% Q1 FY2026, comps +8%	US teen and young adult; Aerie intimates and loungewear is the growth engine at >US\$2bn TTM
Abercrombie & Fitch (ANF)	US\$3.4-3.6bn	~US\$5.3-5.5bn (est.)	~7.5x trailing; ~7.3x forward	~4.6x	Decelerating from a ~16% peak	US young adult premium plus meaningful international; two-brand concentration
Urban Outfitters (URBN)	US\$5.7-7.3bn (sources diverge)	~US\$6.0-6.2bn (est.)	~12-15x trailing; ~14.6x forward	~10.7x	+11% FY2026; +11% Q1 FY2027	US and international lifestyle across UO, Anthropologie, Free People, FP Movement, wholesale, Nuuly rental

The comparison is unflattering on growth and flattering on everything else. Gap Inc. is roughly two and a half times the revenue of any US peer, generates a 3.4% dividend yield that none of them match, carries net cash before leases, and converted US\$1.29bn of operating cash flow into US\$823m of free cash flow in FY2025 -- an 11% free-cash-flow yield on the current market capitalisation. It trades at a similar earnings multiple to Abercrombie, which grows faster and earns a low-60s gross margin, and at roughly half the multiple of Urban Outfitters. The market is explicitly paying for growth in this cohort and Gap Inc. is the only name in it not delivering any. Whether that is correct depends entirely on Old Navy.

8.1 Bull case

The bull case is that FY2026 guidance was set against a tariff assumption that has already been overtaken by events, and that Old Navy's H2 building blocks are real. Management planned for an IEEPA-level reversion after 24 July; what arrived was a flat 10-12.5% Section 301 duty, which on Gap's sourcing mix should land below plan. The entire US\$80m of identified relief is already reserved, so releasing it is a decision rather than a reforecast, and the IEEPA refund track sits outside guidance entirely. On the revenue side, H2 mix shifts away from the seasonal categories Old Navy fumbled and toward denim and active where it holds top-three and top-five share, with beauty rolling to the full fleet and the Fanatics licensing partnership launching. Gap brand compounds at high-single-digits, Banana Republic delivers a fifth and sixth consecutive positive comp, and roughly US\$600m of remaining buyback -- 8% of the market capitalisation -- takes the diluted share count below the 375m guide. Adjusted EPS lands at or above the US\$2.40 top of the range in FY2026 and compounds to US\$2.65-2.80 in FY2027. At 11-12x, which is still a discount to Urban Outfitters and roughly the apparel-retail industry average, that is a US\$29-33 share -- close to the US\$26.91 sell-side consensus target and consistent with the stock reclaiming the upper half of its US\$18.11-29.36 52-week range.

8.2 Bear case

The bear case is that 56% of the business has structurally stopped growing and the rest cannot carry it. Old Navy comped +1% in Q1, is guided down low-single-digits in Q2 and flat to +1% for the year -- against a US consumer where the value tier is contested by Target, Walmart, Shein and Temu simultaneously, and where Gap's own admission is that it misjudged the assortment rather than the price. Athleta has declined for three years and shows no inflection, putting its carrying value at risk. Gap brand is lapping a +10% comp with marketing-led momentum that is impression-driven and person-dependent, and management has already guided it lower. The tariff relief gets absorbed by fuel inflation and by competitors reinvesting their own

relief into price -- precisely the two buffers the CFO named -- so it never reaches the margin line, and the Section 301 regime proves permanent where Section 122 was temporary. In that path FY2026 adjusted EPS lands at the US\$2.30 low end, FY2027 is flat to down, and a business with no growth, 88% single-country revenue exposure and a beta above 2.0 re-rates to 6-7x, which is a US\$14-17 share. The de-rating trigger to watch is a second consecutive Old Navy miss on 27 August; the stock fell 17% on the first one.

9

WHAT MOVES IT NEXT -- EARNINGS SIGNAL MAP

ELI5 — Why this section exists

Across a coverage universe, the scarce resource is attention, not information. Every company reports four times a year and each report contains hundreds of numbers, but on any given date the market is really only asking one question of each name. This table isolates that question, dates it, and counts the days -- so that research and monitoring time can be allocated to the report that will actually move a position rather than spread evenly across the calendar.

Company	Next earnings	Days away	The one metric	Why it matters
Gap Inc. (GAP)	27 Aug 2026 (est.), Q2 FY2026	~29 days	Old Navy Q2 comparable sales against the 'down low-single-digits' guide, and whether management releases any part of the reserved US\$80m tariff benefit into the FY2026 gross margin outlook	These are the two independent variables in the equity. Old Navy is 56% of revenue and was the sole cause of the May guidance cut; a second consecutive miss converts a one-off assortment error into a run rate and validates a 6-7x multiple. Separately, a release of the tariff reserve would add 50bps to gross and operating margin and signal that the Section 301 transition landed below plan -- the single most underpriced line in the model. A beat on Old Navy plus a reserve release takes adjusted EPS above the US\$2.40 top of guidance; a miss on both leaves the low end intact and removes the only near-term catalyst

For a single-name initiation the prioritisation question is not which company to read first but which piece of work to do before the print rather than after it. That work is the Section 301 Federal Register annex. The tier assignment -- 10% versus 12.5% -- for Vietnam, Indonesia, India, Bangladesh and Sri Lanka, together with the product-level exemption schedule for apparel HTSUS lines, is public, was published on 23-24 July, and mechanically determines Gap's H2 landed cost. It is knowable now, it is not in the sell-side models, and it is the difference between the August print being a tariff-relief beat and a fuel-cost wash. Everything else about 27 August is a judgement call on Old Navy's merchandising, which no amount of pre-work resolves.

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VERIFICATION LOG

Item	Status	Note
Ticker and exchange (GAP, NYSE)	CLEAN	Confirmed; ticker changed from GPS. Some sources still cite GPS
Share price and market cap	CLEAN	US\$20.30, 360.0m shares, 28 Jul 2026, aggregator; cap stated as a range
FY2025 P&L, balance sheet, cash flow	CLEAN	Primary source: 8-K exhibit 99.1 filed 5 Mar 2026
FY2025 brand and geographic revenue split	CLEAN	Same 8-K; segment table
Q1 FY2026 results, store counts, buybacks	CLEAN	Primary source: Q1 FY2026 press release, 28 May 2026
FY2026 and Q2 FY2026 guidance	CLEAN	Q1 press release plus prepared remarks, 28 May 2026
Tariff impact figures (120bps FY2025, 200bps Q1)	CLEAN	Company-stated in press release and prepared remarks

Item	Status	Note
US\$80m reserved tariff relief and its allocation	CLEAN	CFO prepared remarks, 28 May 2026
Section 122 expiry and Section 301 regime from 24 Jul 2026	CLEAN	Multiple law-firm client alerts dated 23-27 Jul 2026
Which Section 301 tier Gap's sourcing countries fall into	FLAGGED	Not verified per country. The 40-60bps sensitivity is the author's estimate
Sourcing mix (Vietnam ~27-29%, Indonesia ~18%)	FLAGGED	Traceable to FY2023 10-K and 2024-25 commentary; not re-verified against the FY2025 10-K filed 17 Mar 2026
Two largest vendors at ~9% and ~7% of purchases	FLAGGED	FY2023 10-K vintage; may have shifted
China below 10% of sourcing	FLAGGED	CEO statement early 2025. Secondary sources claim below 3%; not corroborated
Fisher family ownership percentage	FLAGGED	Sources range 26% single-holder to ~40% family aggregate; no primary proxy verified. One aggregator reported an implausible 88% insider figure and was disregarded
Death of co-founder Doris Fisher	CLEAN	CEO remembrance, Q1 FY2026 prepared remarks, 28 May 2026
CFO insider sale, March 2026	CLEAN	16,036 shares at ~US\$23.74; secondary reporting of Form 4. No full insider screen run
Peer financials -- AEO, ANF, URBN	EST.	Aggregator data of mixed vintage; ranges shown. URBN market cap sources diverge materially
International peers -- Inditex, Fast Retailing, Shein, TJX	EST.	Directional scale only. Not verified this session; no figures relied upon in the thesis
EV/EBITDA calculations	EST.	Author-computed. FY2025 EBITDA of US\$1,611m = op. income US\$1,115m + D&A US\$496m. Lease treatment stated in the table
Next earnings date, 27 Aug 2026	EST.	Consensus earnings calendar; not confirmed against a company IR announcement
Q2 FY2025 comparison figures	EST.	Net sales US\$3.7bn and GM 41.2% taken from the guidance table; Q2 and Q3 FY2025 detail not separately fetched
Employee count ~79,000	FLAGGED	Aggregator sources give 79,000 and 82,000 for overlapping periods

B ACRONYM AND TERM GLOSSARY

Term	Full name and meaning
AD/CVD	Antidumping and Countervailing Duties -- product-specific trade remedies separate from tariffs
ASR	Accelerated Share Repurchase -- a buyback executed via an investment bank with upfront share delivery
AUR	Average Unit Retail -- the average price actually realised per garment sold, after discounting
bps	Basis points -- one hundredth of one percentage point
CAFTA-DR	Dominican Republic-Central America Free Trade Agreement
CBP	US Customs and Border Protection -- the agency that collects duty and processes refunds
Circana	Consumer market research firm (formerly IRI and NPD) whose US Apparel Consumer service is Gap Inc.'s cited market-share source
Comparable sales (comps)	Sales from stores open at least a year plus online, isolating like-for-like demand from store openings and closures
DC	Distribution Centre
D&A	Depreciation and Amortisation
EPS	Earnings Per Share
EV/EBITDA	Enterprise Value divided by Earnings Before Interest, Tax, Depreciation and Amortisation
FCF	Free Cash Flow -- here, operating cash flow less purchases of property and equipment

Term	Full name and meaning
HTSUS	Harmonized Tariff Schedule of the United States -- the product classification system that determines duty rate
IEEPA	International Emergency Economic Powers Act -- the authority under which 2025 reciprocal tariffs were imposed, struck down 20 Feb 2026
LSD / HSD	Low-single-digit / high-single-digit (percentage growth)
MFN	Most Favoured Nation -- the baseline tariff rate applied to WTO members
OCF	Operating Cash Flow
ROD	Rent, Occupancy and Depreciation -- the store-estate cost component of a retailer's gross margin
Section 122	Trade Act of 1974 authority permitting a temporary import surcharge up to 15% for a maximum 150 days
Section 232	National-security tariff authority (steel, aluminium, copper, autos); has no sunset
Section 301	Trade Act of 1974 authority addressing unreasonable foreign trade practices; the basis of the regime effective 24 Jul 2026
SG&A	Selling, General and Administrative expenses
SOTP	Sum Of The Parts -- valuing a multi-brand group by valuing each brand separately
USMCA	United States-Mexico-Canada Agreement
USTR	Office of the United States Trade Representative
WASO	Weighted Average Shares Outstanding

C**DISCLAIMER**

This document is internal buy-side research prepared for portfolio and research prioritisation purposes. It contains no price target and no buy, sell or hold recommendation, consistent with house convention. It is not investment advice and does not constitute an offer or solicitation. Figures marked EST. or FLAGGED in the Verification Log should be independently confirmed against primary filings before any capital is committed. Market capitalisation and peer figures move daily. Tariff policy is in active flux and the Section 301 regime described here took effect five days before the date of this report; readers should confirm the current position, including any litigation affecting Section 122 at the Court of Appeals for the Federal Circuit, before relying on the cost analysis. Prepared 29 July 2026.